II

We were impartial in advising all governments about the virtues of macroeconomic stability. In the Gadgil Lecture given on 13 February 2014, I gave the UPA government, which was going to present its last budget, the usual RBI caution on maintaining fiscal discipline, including urging it to address the vexing issue of oil subsidies. I offered similar advice to the NDA government also.

Macroeconomic Advice

Let me offer a quick recap of the macroeconomic situation. Growth is stabilizing on the back of a good harvest, strengthening exports, and some early signs of resumption of large stalled projects. However, growth is still very weak. We have to work to ensure macroeconomic stability, which means strengthening growth, especially through investment, maintaining a moderate current account deficit, achieving a fiscal deficit consistent with the government's fiscal roadmap, and reducing inflation. The government has to be commended for its efforts to revive growth, narrow the current account deficit, and meet fiscal targets. I have no doubt that the fiscal deficit for 2013-14 will be close to, or below, the finance minister's red line.

Going forward, however, we need to continue on the path of fiscal consolidation constantly improving the sustainability and quality of fiscal adjustment. It is very important that we spend money on needed public investment, even while reducing misdirected subsidies and entitlements.

Good fiscal control will help us in our fight against inflation. So will moderation in agricultural support price inflation, which will ensure that these prices only provide a baseline level of support when the farmer is in difficulty, without displacing market prices. Accurate